

# Market Signals: Reading the UK Gilt Curve

**What the bond market is pricing for the Bank of England — and why it matters**

**Version 1.0 | Published 3 August 2026 | Data cutoff 31 July 2026 | Tanmay Gambhir**

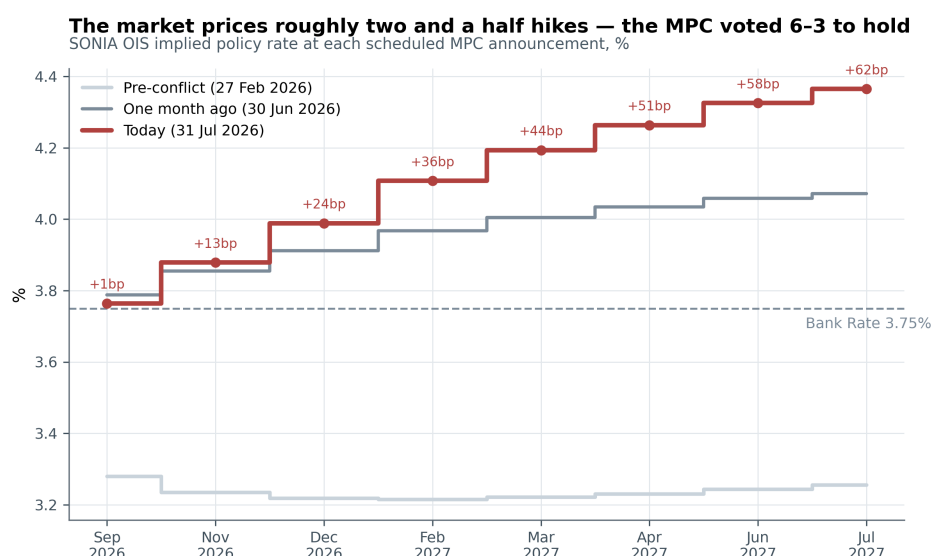
*Independent research. Not investment advice. All data from official public sources; every figure is reproducible from the accompanying notebook.*

## Executive summary

**The sterling market is pricing 62 basis points of Bank of England tightening over the next twelve months. I think that is too much, and I would fade it.**

On 30 July the MPC voted 6–3 to hold Bank Rate at 3.75%. Three members — Greene, Mann and Pill — wanted 4.00%. The SONIA OIS curve, which is the market's cleanest read on policy, prices a full 25bp hike by the December meeting and roughly two and a half hikes by July 2027. Within the two-year window where OIS is a clean policy signal, the implied path tops out at 4.41%.

The gap between those two facts is the trade.



Source: Bank of England yield curve data and Interactive Database. Data to 31 July 2026.

Exhibit 1. Market-implied Bank Rate at each scheduled MPC announcement, from the Bank of England's fitted SONIA OIS curve.

**What the majority actually said matters more than the vote count.** The six who held gave a specific reason: financial conditions have already tightened enough. The Governor put it plainly — "these conditions and the upward sloping yield curve, which in part reflects the energy-related upside risks to inflation, are weighing on any nascent inflation pressures." That is a reaction function with a feedback loop in it. The more the market prices hikes, the more financial conditions do the MPC's work, and the less the MPC needs to move. Hike pricing at this level is partly self-defeating.

**The hawks' case is risk management, not data.** The Committee agreed there has been "little evidence of material second-round effects so far," that underlying disinflation is "firmly on track," and that the labour market is loose. Dhingra called a hike "disproportionate." Ramsden and Taylor both said explicitly they would consider *resuming cuts* if energy risks subside. To deliver the hike

the market has priced for December, two of the six holders must switch — and the Committee has said the decisive evidence, 2027 pay settlements, will not arrive until late this year.

**Second finding, and it cuts against the headlines.** The 30-year gilt at 5.89% sits in the 99.8th percentile since 1997; only four sessions since 1998 have closed higher. The standard explanation is a fiscal credibility crisis. The decomposition does not support that. Over the past twelve months the 30-year gilt yield rose 37bp while the 20-year gilt-OIS spread — the gilt-specific premium, stripped of policy expectations — *narrowed* from 84bp to 72bp. The entire long-end selloff, and more, came from the sterling rate curve repricing. The fiscal premium got smaller, not larger. This was a front-end event that travelled down the curve, not a funding crisis.

**Third, inflation compensation is elevated but not de-anchoring.** The 30-year RPI breakeven of 3.37% converts to roughly 3.27% on a CPI-equivalent basis once the February 2030 RPI-CPIH alignment is handled properly. That is well above target — but 5y5y forward inflation compensation has *fallen* over the past year, from 3.13% to 3.00%. Long-run expectations are drifting down, not up. The premium is compensation for risk, not a forecast of failure.

### The view

|            | Position                                                                      | Conviction |
|------------|-------------------------------------------------------------------------------|------------|
| Front end  | Receive 1y1y SONIA OIS at 4.40%. Overpriced for hikes.                        | High       |
| Long end   | Neutral. Cheap, but do not buy before the Autumn Budget.                      | Medium     |
| Curve      | 2s10s steepener, DV01-neutral, 5:1. The hedged version of the front-end view. | Medium     |
| Breakevens | No position. 10y CPI-equivalent at 2.91% is close to fair.                    | —          |

The 1y1y receiver is asymmetric. It makes 65bp if the MPC never hikes, 40bp on one hike, and still 15bp on two. It only loses if three or more hikes are delivered — the outcome the current 6-3 committee is furthest from.

**What would change my mind:** evidence of second-round effects. Specifically, services CPI re-accelerating, private-sector regular pay growth turning back up, or 2027 pay settlements printing above 4%. Any of those and I am wrong, and I will say so in the September edition.

## Section 1 — How to read this market

### Two curves, two questions

The single most common mistake in UK rates commentary is to read Bank Rate expectations off gilt yields. You cannot. A gilt yield contains at least four things:

1. the average expected path of Bank Rate over the bond's life,
2. a **term premium** — extra yield demanded for locking money up and bearing the risk that rates move,
3. a **supply and fiscal concession** — the discount the market extracts to absorb DMO issuance and Bank of England quantitative tightening,
4. **market-structure effects** — collateral value, benchmark status, and what the liability-driven investment complex is doing that week.

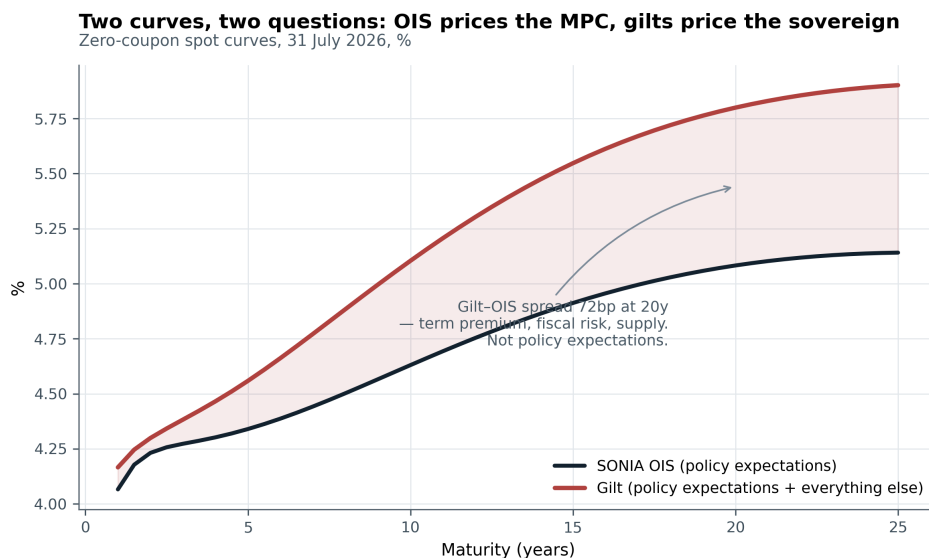
Only the first is policy expectations. The other three are noise if the policy path is your question — and they are large. At the 20-year point they are currently worth 72 basis points.

The instrument that isolates policy expectations is the **overnight index swap**. A sterling OIS exchanges a fixed rate for compounded SONIA over the swap's life. SONIA is the rate at which banks borrow overnight, unsecured, and it tracks Bank Rate almost mechanically — it fixed at 3.7320% on 30 July against a Bank Rate of 3.75%. Because an OIS involves no principal exchange

and its cashflows reference an overnight rate, it carries negligible credit risk and, at short maturities, negligible term premium.

**So the forward path of SONIA implied by the OIS curve is, to a very good approximation, the market's expected path of Bank Rate.** That is what this report uses. The Bank of England fits and publishes its own OIS curve daily, free, in the same dataset as its gilt curves. It is the correct tool and it is under-used.

Gilts then get put to the job they are good at: telling you what the market charges the *sovereign*, over and above the risk-free policy path.



Source: Bank of England yield curve data and Interactive Database. Data to 31 July 2026.

Exhibit 2. The same policy path is embedded in both curves. The gap between them is everything else.

### The four terms you need

**Yield curve.** Yield plotted against maturity. Upward sloping means longer money costs more. This report uses the Bank of England's fitted *zero-coupon* curves, so each point is the yield on a single cashflow at that maturity — cleaner than quoted bond yields, which are contaminated by coupon effects.

**Duration.** Approximate percentage price change for a 1% move in yield. A 30-year zero has roughly 30 years of duration; a 2-year has 2. This is why the long end does the damage: the same 10bp move costs fifteen times more at 30 years than at 2. It is also why curve trades must be *DV01-neutral* — sized so both legs have equal sensitivity — or they are just a directional bet wearing a disguise.

**Term premium.** The extra yield over and above expected policy for taking duration risk. It is not directly observable. Rather than estimate it with an affine term structure model — a black box I could not defend line by line — this report uses the **gilt-OIS spread** as its observable proxy. Both legs price the same expected policy path, so the path cancels; what remains is compensation for holding a gilt rather than receiving fixed in a swap. Every basis point of it can be explained.

**Forward rate.** The rate implied today for a future period. If the 1-year rate is 4.07% and the 2-year is 4.23%, then the market is implying a 1-year rate starting one year from now of about 4.40%. That number — the **1y1y** — is the single cleanest expression of where the market thinks Bank Rate is heading, and it is the security this report recommends receiving.

---

## Section 2 — How we got here

---

History matters here only insofar as it explains today's level. Four moves.

**March 2020 — COVID.** Gilt yields collapsed as the Bank cut to 0.10% and restarted asset purchases, then violently reversed during the global dash for cash. In the fortnight to 9 March 2020 the 10-year fell 46bp; in the nine days that followed it rose 65bp and the 20-year rose 85bp. The lesson that survives: in a liquidity event the long end moves most, and correlation between "safe" assets goes to one.

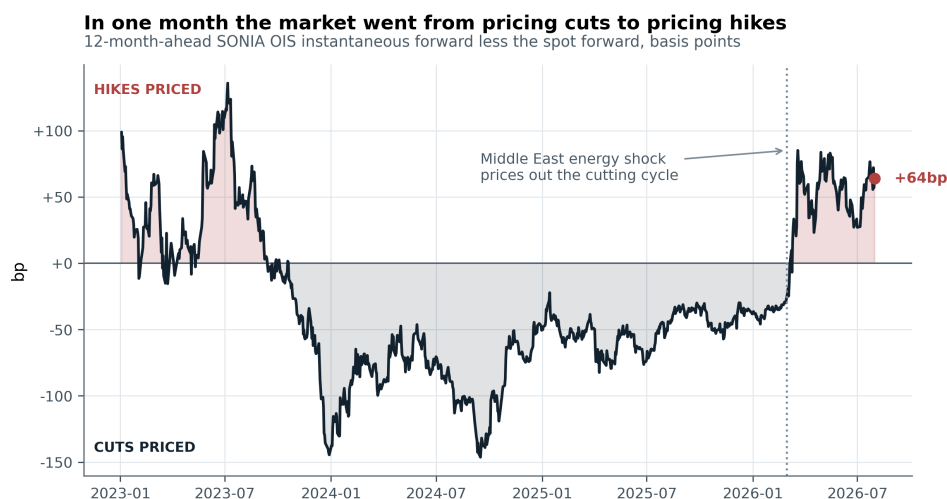
**September-October 2022 — LDI.** The most important episode in the modern gilt market. Between the 22 September mini-Budget and 12 October, the 20-year gilt yield rose 116bp and the 30-year 109bp. UK defined-benefit pension schemes had used leveraged interest rate swaps and repo to hedge their liabilities, posting gilts as collateral. When yields rose, they faced collateral calls; meeting them meant selling gilts; selling gilts pushed yields higher. A hedging strategy became a forced-seller doom loop. The Bank of England intervened with time-limited long-dated purchases and the 30-year fell 133bp over the following three weeks.

Two things changed permanently, and both matter for pricing today. First, LDI funds hold materially more liquidity buffer and less leverage, which means **structurally weaker natural demand for long-dated gilts**. Second, the DMO responded by skewing issuance away from the long end. In the revised 2026-27 remit, long conventional gilts are just £22.4bn of £246.2bn in planned sales — 9.1%. Supply has adapted to the demand shift.

**2023-2025 — disinflation and quantitative tightening.** Bank Rate peaked and began falling; the Bank ran down its gilt portfolio. Through 2025 the market consistently priced *cuts*: in mid-2025 the 12-month-ahead OIS forward sat 30-75bp *below* spot. As of 17 July 2026 the Bank still held £491bn of gilts for monetary policy purposes — a stock being run off into a market whose largest structural buyer has retreated.

**March 2026 — the energy shock.** The conflict in the Middle East disrupted energy markets. The repricing was abrupt and precisely datable. At the end of February 2026 the market priced 30bp of *cuts* over twelve months. By the end of March it priced 53bp of *hikes*. An 83bp swing in a single month, and the regime the market has been in ever since.

Everything in this report is a consequence of that flip.

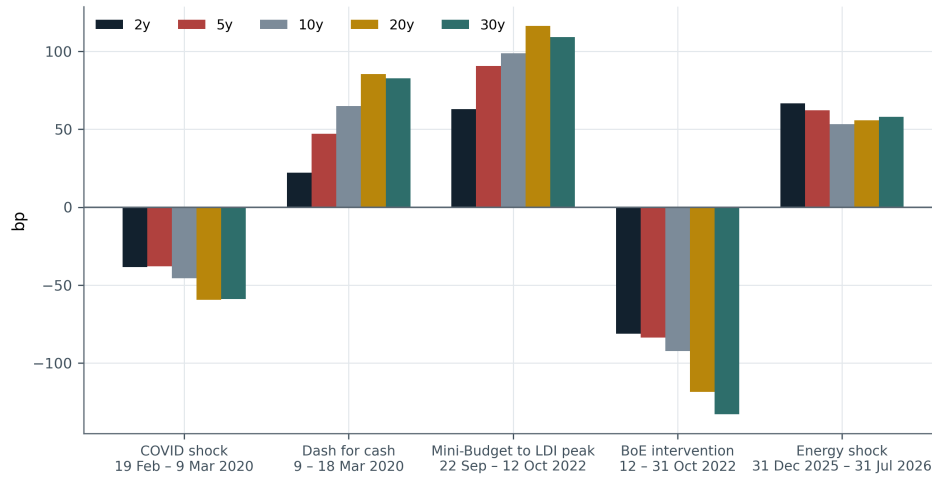


Source: Bank of England yield curve data and Interactive Database. Data to 31 July 2026.

Exhibit 3. Dating the regime change. An 83bp swing in a single month.

### The 2026 energy shock hit the front end; 2022 hit the long end

Change in gilt zero-coupon yields over each episode, basis points



Source: Bank of England yield curve data and Interactive Database. Data to 31 July 2026.

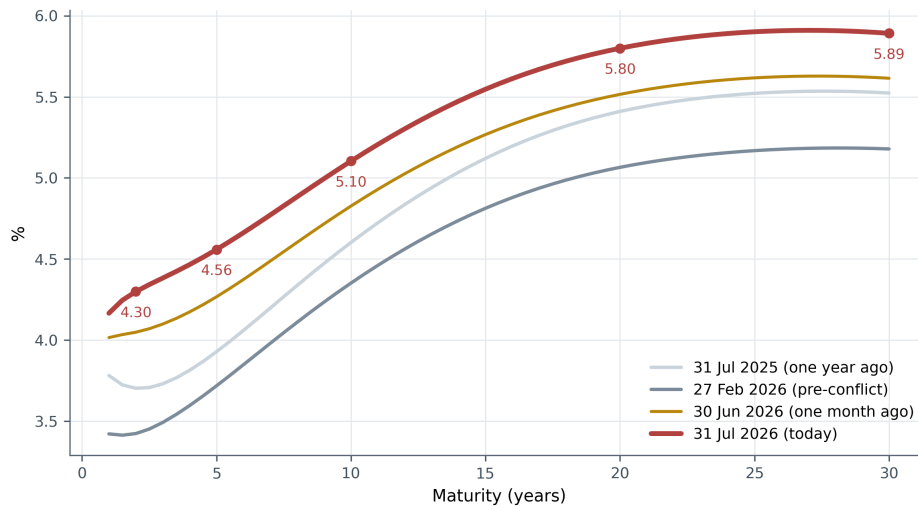
Exhibit 4. How the gilt curve behaves under different kinds of stress.

## Section 3 — The curve today

Data as at close, 31 July 2026.

### The whole gilt curve has repriced higher, led by the front end

UK nominal zero-coupon gilt spot curve, %



Source: Bank of England yield curve data and Interactive Database. Data to 31 July 2026.

Exhibit 5. The gilt curve today against three reference dates.

| Tenor | Gilt spot | SONIA OIS spot | Gilt-OIS | Real (RPI) | RPI breakeven |
|-------|-----------|----------------|----------|------------|---------------|
| 2y    | 4.299%    | 4.232%         | +6.8bp   | —          | —             |
| 5y    | 4.559%    | 4.340%         | +21.9bp  | 1.116%     | 3.442%        |
| 10y   | 5.104%    | 4.630%         | +47.4bp  | 1.881%     | 3.223%        |
| 20y   | 5.800%    | 5.083%         | +71.7bp  | 2.501%     | 3.298%        |
| 30y   | 5.892%    | —              | —        | 2.520%     | 3.372%        |

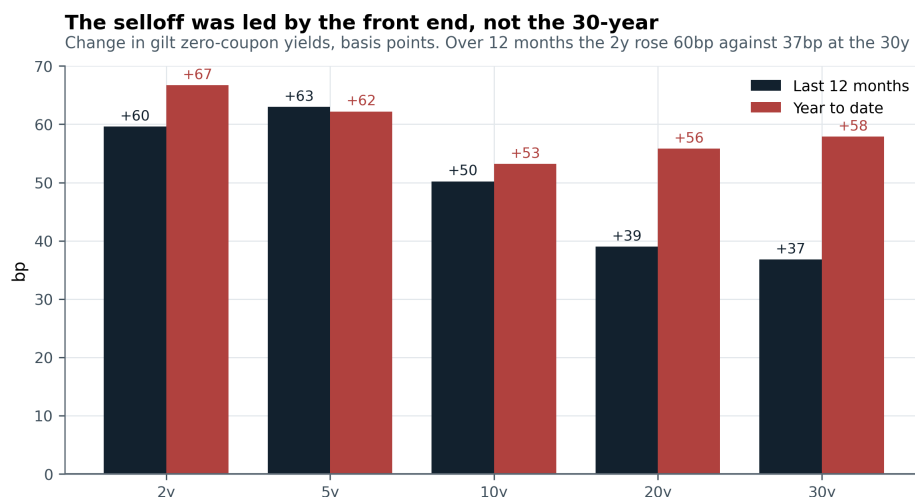
**Levels are extreme; slopes are not.** The 10-year sits at the 99.7th percentile of its post-2015 range and the 88th percentile since 1997. The 30-year is at the 99.8th percentile since 1997 — of

7,457 sessions since 1998, only four have closed higher, and the post-1998 peak of 5.95% was set on 15 May 2026.

But the *shape* is unremarkable. 2s10s at 80.5bp is only the 64th percentile since 2015. 10s30s at 78.8bp is the 88th percentile — steep, but not a record. And every slope is **flatter** than a year ago: 2s10s has come in from 90bp, 10s30s from 92bp, 2s30s from 182bp to 159bp.

That combination — record levels, unremarkable slopes, flattening — is the signature of a **front-end-led repricing**, not a long-end funding crisis.

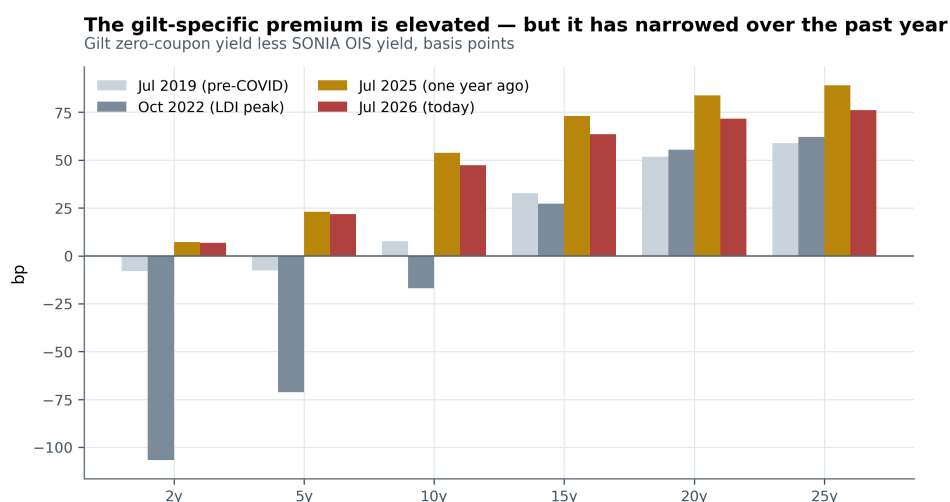
**The evidence for that claim.** Over the twelve months to 31 July, the 2-year rose 60bp and the 30-year rose 37bp. The move was concentrated where policy expectations live. Year to date the pattern is similar: 2-year +67bp, 30-year +58bp.



Source: Bank of England yield curve data and Interactive Database. Data to 31 July 2026.

Exhibit 6. Where the selloff actually happened.

**And the gilt-specific premium narrowed while this happened.** The 20-year gilt-OIS spread went from 84bp a year ago to 72bp today; the 10-year from 54bp to 47bp. If the long end were being punished for fiscal credibility, this spread would be widening. It is not.



Source: Bank of England yield curve data and Interactive Database. Data to 31 July 2026.

Exhibit 7. The gilt-specific premium by tenor, against three historical reference points.

This is the report's most important analytical finding and it contradicts the prevailing narrative. **The UK long end is expensive to the taxpayer because sterling rates repriced, not because the market has newly lost faith in the UK's fiscal position.** The gilt-specific premium is elevated

versus history — the 20-year spread is at the 74th percentile since 2015, and the level shift since 2021 is structural, a consequence of LDI retreat and QT — but it is not deteriorating right now.

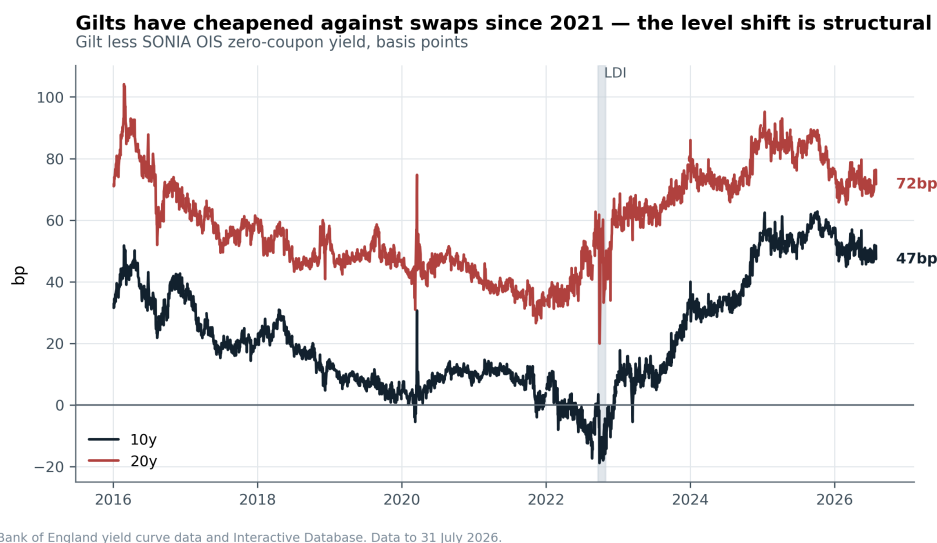


Exhibit 8. The level shift since 2021 is structural — LDI retreat and quantitative tightening — but it is not widening now.

**Butterflies.** The 5s10s30s fly is at  $-24\text{bp}$ , the 31st percentile since 2015: the 10-year is *rich* relative to its wings. 2s5s10s at  $-29\text{bp}$  tells a similar story. This is worth knowing before choosing which point on the curve to express a view at, and it is a mild argument against using the 10-year as the long leg of a steepener.

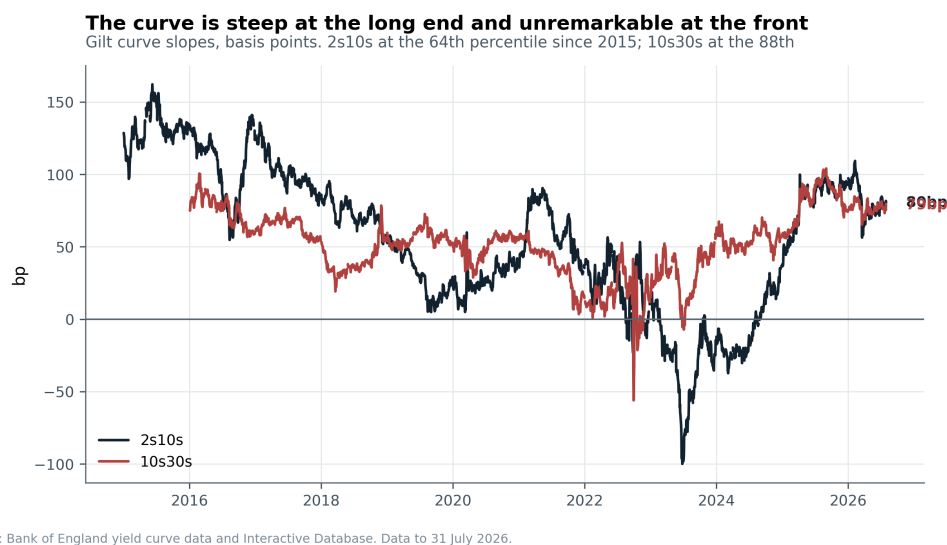
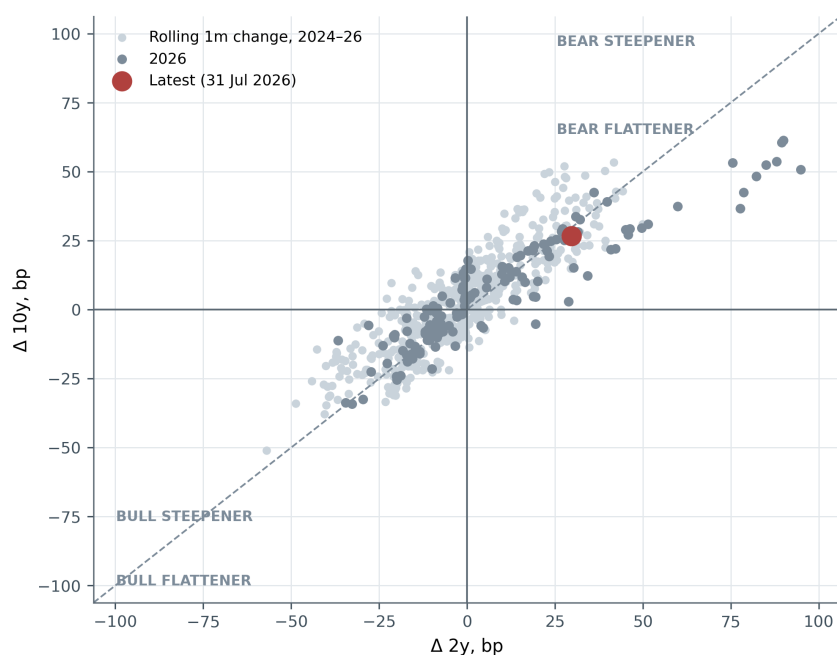


Exhibit 9. Slopes are steep at the long end and unremarkable at the front.

**Regime.** Classified on the standard bull/bear  $\times$  steepen/flatten grid using rolling one-month changes, 2026 has been a bear market — yields rose in 55% of sessions — with no dominant curve regime. Steepeners and flatteners split roughly evenly. Direction has been the trade this year, not shape. In 2025, by contrast, bear steepeners accounted for 45% of sessions.

**A bear market with no dominant curve regime**  
 All bear 22 trading days, 10 up to 20 bp, 12 down to -10 bp. Yields rose in 55% of 2026 sessions, but steepeners and flatteners split roughly evenly — direction has been the trade, not shape.



Source: Bank of England yield curve data and Interactive Database. Data to 31 July 2026.

Exhibit 10. Classifying every rolling one-month move on the desk's bull/bear × steepen/flatten grid.

## Section 4 — What the market is pricing

### The implied policy path

Interpolating the Bank of England's OIS instantaneous forward curve onto the scheduled MPC announcement dates gives the market's meeting-by-meeting view.

| MPC date    | Implied rate | Cumulative vs 3.75% | Priced at that meeting |
|-------------|--------------|---------------------|------------------------|
| 17 Sep 2026 | 3.76%        | +1bp                | ~6%                    |
| 5 Nov 2026  | 3.88%        | +13bp               | ~46%                   |
| 17 Dec 2026 | 3.99%        | +24bp               | ~44%                   |
| 4 Feb 2027  | 4.11%        | +36bp               | ~48%                   |
| 18 Mar 2027 | 4.19%        | +44bp               | ~34%                   |
| 29 Apr 2027 | 4.26%        | +51bp               | ~28%                   |
| 17 Jun 2027 | 4.33%        | +58bp               | ~25%                   |
| 29 Jul 2027 | 4.36%        | +62bp               | ~16%                   |

Read it as: **September is a non-event, one full hike is priced by December 2026, and two and a half by July 2027.** Within the two-year policy-relevant window the implied path tops out at 4.41% in December 2027 before drifting lower. Beyond two years the OIS forward starts picking up swap term premium and stops being a clean policy read, so it is not used here.

*A note on two similar-looking numbers.* The table measures the implied rate at each meeting date against today's 3.75% Bank Rate, giving +62bp at the July 2027 meeting. Chart 2 measures the 12-month-ahead instantaneous forward against the shortest available forward, giving +64bp. Different denominators, same message; the report uses the meeting-dated figure throughout because it is the one a client can act on.



The "probability" column is the incremental basis points divided by 25 — the risk-neutral chance of a 25bp move at that meeting, conditional on nothing happening between meetings. It is an approximation, and it is risk-neutral rather than a real-world forecast, but it is how the desk talks and it is the right order of magnitude.

### Inflation compensation, done properly

UK index-linked gilts reference **RPI, not CPI**. Two adjustments are required before comparing a breakeven to the 2% target, and skipping them is the most common error in UK inflation commentary.

First, RPI has historically run about 0.9pp above CPI — the formula effect plus different housing treatment. Second, **from February 2030 RPI is aligned to CPIH**, which collapses that wedge to roughly zero. A breakeven spanning 2030 therefore blends two different indices, and the market has priced the reform since it was confirmed.

Applying the wedge only to the pre-reform portion of each horizon:

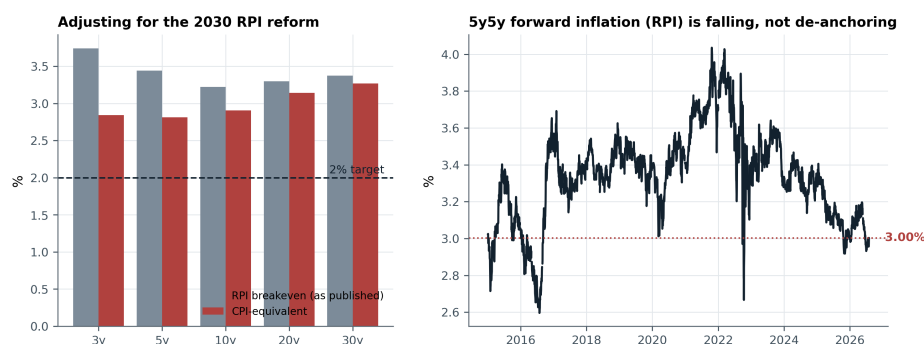
| Tenor | RPI breakeven | Share of horizon pre-2030 | CPI-equivalent |
|-------|---------------|---------------------------|----------------|
| 5y    | 3.44%         | 70%                       | 2.81%          |
| 10y   | 3.22%         | 35%                       | 2.91%          |
| 20y   | 3.30%         | 18%                       | 3.14%          |
| 30y   | 3.37%         | 12%                       | 3.27%          |

The headline "3.4% at 30 years" becomes 3.27% CPI-equivalent. Still 127bp above target — but the shape matters. Compensation is *lowest* at 10 years and rises with maturity. That is the profile of an **inflation risk premium** that grows with horizon uncertainty, not of a market forecasting a permanent overshoot.

The clinching evidence: **5y5y forward inflation compensation is 3.00%, down from 3.13% a year ago**. Long-run expectations are falling during an energy shock. Whatever else is wrong with the UK, the inflation anchor is holding.

#### Long-run inflation compensation is elevated but stable

UK index-linked gilt market. RPI is aligned to CPIH from February 2030, so only the pre-reform portion of each horizon carries the RPI-CPI wedge (assumed 0.90pp).



Source: Bank of England yield curve data and Interactive Database. Data to 31 July 2026.

Exhibit 11. Breakevens adjusted for the February 2030 RPI-CPIH alignment, and the anchoring gauge.

### Real yields

The 10-year real yield is 1.88% and the 30-year 2.52%, the latter at the 99.5th percentile since 1997. Long real yields are at levels last seen before the financial crisis. For a pension fund or insurer with real liabilities this is the best entry point in two decades — and that is the strongest argument that long gilts will eventually find a bid. It is not an argument that they will find it this quarter.

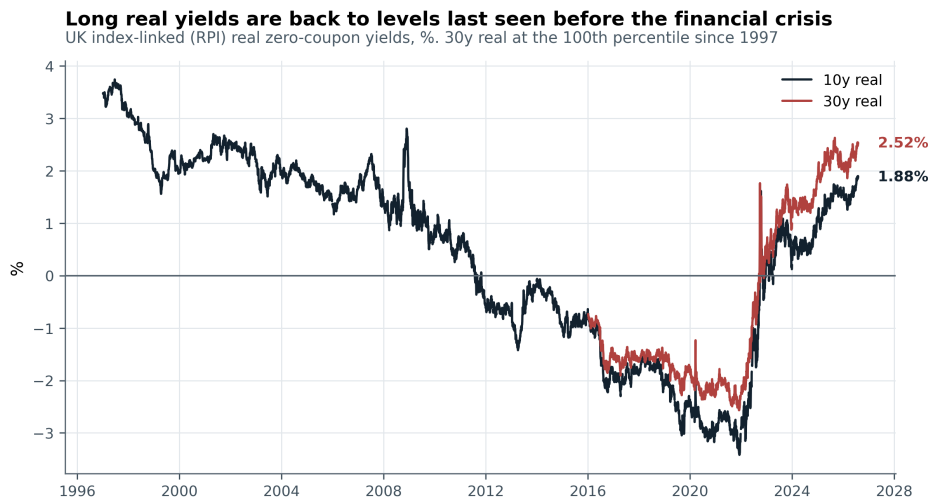


Exhibit 12. Long real yields at pre-financial-crisis levels.

## Section 5 — My market view

### What is priced correctly

**The September meeting.** Six basis points, roughly a 6% chance of a move. The MPC has just told us it wants to "allow time to observe further evidence" and the next set of decisive data will not exist by 16 September. Correct.

**The 10-year point in isolation.** At 5.10% with a 47bp gilt-OIS spread, the 10-year is priced for a policy path I disagree with, but its gilt-specific premium is defensible. My argument is with the OIS component, not the gilt component.

**Long-run inflation.** A 10-year CPI-equivalent breakeven of 2.91% is roughly fair for a central bank that has been above target for five years and is dealing with an energy shock. No edge, no trade.

### What is overpriced

**Hikes. This is the core view.**

The market prices +24bp by December and +62bp over twelve months. I think the realistic range is 0 to 25bp, and I would put the central case at **one hike or none**.

Four reasons.

**1. The reaction function is self-limiting.** The majority's stated rationale for holding was that "the significant tightening of financial conditions that had occurred since the conflict started was providing sufficient insurance against the upside risks to inflation." Bailey named the yield curve itself as part of the tightening. Breeden said conditions "provide sufficient restrictiveness for now." Lombardelli: "the stance of monetary policy is restrictive, more so once broader financial conditions... are factored in." When the market prices hikes, financial conditions tighten, and the MPC's need to hike falls. Priced tightening at this level substitutes for delivered tightening.

**2. The vote is further from a hike than 6-3 suggests.** Count who would have to move. Dhingra called a hike "disproportionate" and wants to wait for a clearer read. Taylor sees the economy "drifting further toward deficient demand," with "material risk of larger output gaps, labour-market scarring," and wants to resume cuts once uncertainty clears. Ramsden would "consider resuming the cutting cycle" if risks subside. That is three of the six who are closer to cutting than hiking. The realistic swing voters are Lombardelli and Bailey, and both framed their position around risk management rather than an active tightening bias.

**3. The hawks are arguing from asymmetric loss functions, not from data.** Greene: "there has been scant evidence of second-round effects, but I expect some to emerge." Mann's decisive input was the geopolitical development, not the inflation prints, which she concedes "have continued to moderate." Pill acknowledges staff found neither a money overhang nor expectation de-anchoring. Their case is that acting early is cheaper than acting late. That is a respectable argument — it is not a forecast that the data will turn.

**4. The evidence that would settle it does not arrive in time.** The Committee said the key uncertainty is second-round effects in wage-setting, and that "indications of 2027 pay settlements were yet to come." Dhingra: "we will learn more about first-round energy effects and 2027 wage-setting towards the end of this year." The market prices a full hike by 17 December. The Committee has told us it expects to be *starting* to learn by then.

### What is underpriced

**The probability that the next move is a cut.** The OIS curve prices essentially zero chance of a cut over the next two years. Three MPC members have effectively said they would vote for one if the energy shock fades. Brent front-month was \$84/bbl and UK front-month gas 136p/therm at the 28 July close — elevated, but the Committee noted the range of likely near-term paths had "probably narrowed relative to the more extreme levels considered at the time of the April Report." The milder of the Bank's two published scenarios assumes de-escalation, no additional second-round effects, and *weaker household consumption*. In that world Bank Rate is below 3.75% within a year. That optionality is free at current levels.

**The long end, on valuation.** A 30-year real yield of 2.52% is a two-decade high. Long conventional supply is just 9.1% of the FY26-27 remit and the DMO has signalled the September syndication of the 2056 gilt will be "modestly-sized." The technical picture is better than the price suggests. But the Autumn Budget is a scheduled, binary, unhedgeable event, and I am not paid to be early into one.

### The trades

**Primary — receive 1y1y SONIA OIS at 4.397%.**

| Instrument   | 1-year sterling OIS starting one year forward, receive fixed                                |
|--------------|---------------------------------------------------------------------------------------------|
| Entry        | 4.397% (from BoE OIS spot curve, 1y 4.066%, 2y 4.232%)                                      |
| Target       | 3.95% — one hike priced, the level I think is fair                                          |
| Stop         | 4.70% — consistent with the market pricing four hikes; my thesis is broken well before that |
| 3-month roll | +1.8bp (mildly positive)                                                                    |
| Horizon      | 3–6 months, through the November and December meetings                                      |

Scenario P&L, in basis points of rate:

| Outcome                      | Fair 1y1y | P&L    |
|------------------------------|-----------|--------|
| Cuts resume, Bank Rate 3.25% | 3.25%     | +115bp |
| No hikes, 3.75%              | 3.75%     | +65bp  |
| One hike, 4.00%              | 4.00%     | +40bp  |
| Two hikes, 4.25%             | 4.25%     | +15bp  |
| Three hikes, 4.50%           | 4.50%     | -10bp  |

**The asymmetry is the point.** The trade makes money in every outcome up to and including two full hikes. It only loses if the MPC delivers three or more — the outcome furthest from a committee that has just voted 6–3 to hold, with three of the majority openly discussing cuts.

*Carry-positive alternative for a lower-risk expression:* receive 1-year spot OIS at 4.066% against SONIA at 3.732%. That earns +33bp per annum simply if Bank Rate is unchanged. Less upside, better carry, easier to hold.

### Secondary — 2s10s gilt steepener, DV01-neutral.

Long 2-year, short 10-year, five units of 2-year per one unit of 10-year (zero-coupon duration  $10 \div 2$ ). Entry 80.5bp, the 64th percentile since 2015. Target 105bp, roughly where 2s10s sat in mid-2025 before the front end repriced.

This is the hedged version of the same view. If I am right, the front end rallies and the long end stays anchored by fiscal risk: bull steepening. If a global rate shock lifts the whole curve, the spread insulates me from the direction. The honest caveat: the 5s10s30s fly says the 10-year is rich to its wings, which argues for a 2s20s expression instead if the flat leg can be sourced. Lower conviction than the outright, which is why it is the secondary.

### Long end — neutral with a defined trigger.

Not long yet. I would buy the 30-year on any of: the Autumn Budget passing without an upward revision to the NFR; the 30-year real yield exceeding 2.75%; or the 20-year gilt-OIS spread widening beyond 90bp, which would signal the fiscal premium is genuinely repricing and offer a better entry.

Three-month carry and roll on a long 30-year position is +46bp — carry of 54bp against SONIA, less 8bp of negative roll because the curve is inverted at the very long end. Carry pays you to be long. Event risk says wait.

### What I am watching

In priority order, with the level that matters:

1. **Services CPI** (ONS, monthly). The Committee's cleanest read on domestic persistence. Re-acceleration is the single most dangerous print for this trade.
2. **Private-sector regular pay growth** (ONS, monthly). Taylor said it has reached "target-consistent rates." If that reverses, the hawks win the argument.
3. **2027 pay settlement indications** (late 2026). The Committee has named this as the decisive evidence. It arrives after the December meeting the market has already priced a hike into.
4. **Brent and UK front-month gas** (\$84/bbl and 136p/therm at 28 July). Duration of the shock matters more than level.
5. **The 5 November MPC and Monetary Policy Report**. The first meeting where the market prices meaningful risk (46%), and the first opportunity for a holder to defect.
6. **The Autumn Budget and any DMO remit revision**. The long-end trigger.
7. **DMP survey own-price expectations and household inflation expectations**. The Committee's named early-warning indicators for second-round effects.

---

## Section 6 — Cross-asset implications

---

**Sterling.** GBP/EUR is 1.1697, up 2.7% from 1.1386 on the eve of the March repricing. GBP/USD is 1.3457, essentially unchanged from 1.3443 pre-conflict. Sterling's gain has been almost entirely against the euro, and almost entirely a rate-differential story. **If hikes get priced out, sterling gives that back.** GBP/EUR is the cleanest FX expression of this report's view, and short GBP/EUR is a correlated way to hold the same risk — useful to know, and a reason not to double up.

**UK banks.** Higher-for-longer front-end rates support net interest margins directly, and the structural hedge — the rolling portfolio banks run to smooth deposit income — reprices upward as older, lower-yielding tranches mature into today's higher rates. That tailwind is roughly locked in for the next few years regardless of what the MPC does next, because it depends on the *level* of rates over the past two years, not the next two. If I am right that hikes get priced out, the near-term

NIM benefit fades at the margin but the hedge tailwind does not. The larger risk to UK banks is not rates — it is impairments if Taylor's "deficient demand" scenario plays out.

**REITs and long-duration equity.** The 30-year real yield at 2.52% is the discount rate that matters for real assets, and it is at a two-decade high. UK commercial property valuations have to clear against a genuine 2.5% real risk-free rate plus a property risk premium, which is a materially higher hurdle than anything since 2008. This is a valuation headwind that does not resolve until long real yields fall — and my view is that the front end rallies first and the long end lags. **REITs are not the way to express this view.** The same logic applies to long-duration growth equity.

**Sterling credit.** All-in yields on investment-grade sterling paper are attractive on a multi-decade view precisely because the gilt base is so high. But spread is the wrong risk to add here: if my adverse scenario hits — second-round effects force the MPC to hike into a weak economy — that is exactly when spreads widen and rates sell off together. Credit is a poor hedge for this view. Prefer the rate expression.

**Equity valuations broadly.** A 10-year gilt at 5.10% is a hard number for the equity risk premium to compete with. The FTSE 100's index-level earnings yield does not clear that bar with much margin, and the domestically-exposed FTSE 250 is more exposed to the demand weakness several MPC members flagged. If the front end rallies on hikes being priced out, that is mildly supportive for domestic equity — but through the growth channel, not the discount-rate channel, since the long end is where the discount rate lives.

---

## Section 7 — What could prove me wrong

---

**My thesis fails if second-round effects show up in the data.** Everything rests on the Committee's own assessment that underlying disinflation is intact and that the energy shock stays a first-round event. Concretely, I am wrong if:

- **Services CPI re-accelerates** for two consecutive months. This is the Committee's primary gauge of domestic persistence and the most likely single trigger.
- **Private-sector regular pay growth turns back up.** Taylor's "target-consistent rates" is load-bearing for the doves. If it reverses, Lombardelli and Bailey have their reason to move and the vote flips to 5–4 the other way.
- **2027 pay settlements print above 4%.** The Committee named this as the decisive evidence. It arrives late this year.

**Inflation surprises.** The Committee expects headline CPI to *rise* from 2.6% later this year as energy passes through. That is anticipated. The danger is a print that overshoots even that expectation, because Mann's argument turns on households becoming "attentive" above a threshold — and attentiveness is a self-fulfilling mechanism. A 3.5%+ headline print would do real damage to my view even if the underlying detail were benign.

**Growth surprises to the upside.** The dovish case rests on slack. If the labour market tightens or demand recovers, the "loose labour market" that three members cite as their comfort disappears.

**Energy re-escalation.** All members agreed risks to energy prices are skewed to the upside. The Committee flagged low European gas stocks, reduced global refining output, and a possible second choke point in the Red Sea. Strategic reserve releases "cannot mitigate the shock indefinitely." A sustained move in Brent above \$100 or UK gas above 175p/therm would make the hawks' risk-management case decisively, and I would exit rather than argue.

**Fiscal policy.** The risk I am most exposed to on the long-end call is the Autumn Budget forcing an upward NFR revision and a supply skew back toward long conventionals. That would widen the gilt-OIS spread and steepen 10s30s. Note this would *not* invalidate the front-end trade — it would arguably reinforce it, because fiscal tightening is disinflationary. But it would make my "wait for the Budget" stance look like the right call for the wrong reason, and I should say so if it happens.

**The strongest argument against my own thesis, which I want on the record.** My central claim is that priced hikes are self-defeating: the more the market prices, the less the Bank must deliver. But that argument cuts both ways. If hikes get priced *out*, financial conditions *ease*, and an MPC that is currently comfortable only because conditions are tight would then face a genuine reason to move. The equilibrium may therefore be that some hike premium is permanently embedded in the front end and never fully unwinds — not because the MPC hikes, but because the pricing is what stops it hiking.

I think this is right, and it is why my target on the 1y1y is 3.95% rather than 3.75%. I am not arguing the front end should price zero probability of a hike. I am arguing that 62bp — a full hike by December plus more than half of a second — is well beyond what that equilibrium requires. But it does mean the last 20bp of this trade is unlikely to be there, and anyone sizing it should assume they capture 40bp, not 65bp.

**The structural risk I cannot hedge.** The Bank still holds £491bn of gilts for monetary policy. The natural long-end buyer base is permanently smaller post-LDI. If QT runoff meets a Budget that increases issuance while pension demand stays absent, the long end can cheapen a long way beyond what any valuation screen says is fair. In 2022 the 20-year moved 116bp in three weeks. Valuation is not a catalyst, and a cheap asset can get much cheaper.

**What would make me change my mind fastest:** a single MPC member who voted to hold in July publicly signalling a switch before the November meeting. That is the leading indicator, and it will show up in speeches long before it shows up in a vote.

---

## Section 8 — Three questions a fixed income client would ask today

---

### 1. "The market prices two and a half hikes and you say fade it. If you're right, why hasn't the market figured this out?"

Because the market is not forecasting — it is buying insurance. Energy risk is skewed to the upside and the whole distribution is fat-tailed, so the risk-neutral path sits above the modal path. That is rational for the market as a whole and it is exactly the gap a directional receiver harvests. The trade does not need the market to be stupid; it needs the modal outcome to happen. And the payoff structure tells you the price of that insurance is high: you still make money if two full hikes are delivered.

The honest version of the risk: if the insurance is *correctly* priced and the tail materialises, I lose. That is why the position is sized as a directional receiver with a stop at 4.70%, not as a leveraged carry trade.

### 2. "The 30-year is at a 28-year high. Is the UK in a fiscal crisis, and should I be worried about my long-dated holdings?"

No, and the data is unambiguous on this. Over the past year the 30-year gilt yield rose 37bp while the gilt-specific premium — the 20-year gilt-OIS spread — *narrowed* from 84bp to 72bp. If this were a fiscal credibility event, that spread would be widening. It is not. The long end is expensive because the entire sterling rate curve repriced after the energy shock, and the 30-year inherited it.

What you should worry about is different and more structural: the natural buyer of long-dated gilts is permanently smaller post-2022, and the Bank is still running off £491bn. That is a *level* problem, not a crisis, and the DMO has already responded by cutting long conventional issuance to 9.1% of the remit. On valuation, a 2.52% 30-year real yield is the best entry in two decades. My only reason for not buying today is the Autumn Budget — event risk, not credit risk.

### 3. "I have to put money to work this quarter. Where's the best risk-adjusted place on the sterling curve?"

The front end, receiving. A 1-year OIS at 4.07% against SONIA at 3.73% pays you 33bp a year to hold a position that also expresses the view I have the most conviction in. If you want more upside, receive 1y1y at 4.40%, where you make money in every scenario up to two delivered hikes.



Where I would *not* put money this quarter: the 30-year, until the Budget is out of the way; sterling credit, because spread widening and rate selloff are correlated in my adverse scenario; and breakevens, where I see no edge at all. If you need duration for liability reasons rather than a view, buy the long end anyway — the real yield entry point is genuinely historic — but do it in tranches and keep powder for a post-Budget cheapening.

## Assumptions register

Every assumption made in this report, stated so it can be attacked.

| #  | Assumption                                                                                               | Basis                                                                                    | If wrong                                                                                                                                                                                                |
|----|----------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| A1 | SONIA OIS forwards approximate expected Bank Rate with negligible term premium at horizons under 2 years | Standard market practice; OIS has no principal exchange and references an overnight rate | Implied hikes overstated; my view strengthens                                                                                                                                                           |
| A2 | The gilt–OIS spread is a usable proxy for term premium plus fiscal and supply concession                 | Both legs share the same expected policy path, which cancels                             | Decomposition in Section 3 weakens; direction of the 12-month change is robust regardless                                                                                                               |
| A3 | RPI–CPI wedge of 0.90pp pre-February 2030, zero thereafter                                               | ONS/OBR working range of 0.8–1.0pp; RPI aligned to CPIH from Feb 2030                    | CPI-equivalent breakevens shift ~0.1pp at 30y; conclusion unchanged                                                                                                                                     |
| A4 | The market has already priced the 2030 RPI reform into index-linked gilts                                | Reform confirmed and no holder compensation; repriced at announcement                    | Long breakevens are overstated, not understated                                                                                                                                                         |
| A5 | Incremental bp ÷ 25 approximates the probability of a 25bp move at a given meeting                       | Desk convention; assumes no intermeeting moves and ignores the risk premium              | Probabilities are indicative only; cumulative bp figures are unaffected                                                                                                                                 |
| A6 | Modified duration ≈ maturity for zero-coupon rates, used for DV01 ratios and roll                        | Exact for zeros, approximate for coupon bonds                                            | Hedge ratios shift a few percent; not decision-relevant                                                                                                                                                 |
| A7 | Scenario "fair value" for 1y1y equals the assumed terminal Bank Rate                                     | Ignores residual term premium of a few bp                                                | P&L figures are approximate to ±5bp                                                                                                                                                                     |
| A8 | Percentile ranks use daily closes with no adjustment for regime change                                   | Transparent and reproducible                                                             | Post-2015 percentiles include the ZIRP era and overstate how extreme current levels are versus a normal-rates sample; 1997-onward percentiles are the more honest comparison and are reported alongside |

## Source register

| Source                                                                                                                         | Used for                                                                                           | Reference                                                                                                                                                             |
|--------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Bank of England, Yield Curve dataset — GLC Nominal, GLC Real, GLC Inflation, OIS daily files                                   | All curve levels, spreads, slopes, breakevens, real yields, event studies                          | <a href="https://bankofengland.co.uk/statistics/yield-curves">bankofengland.co.uk/statistics/yield-curves</a> . Files retrieved 3 Aug 2026; curve data to 31 Jul 2026 |
| Bank of England Interactive Database — IUDBEDR (Official Bank Rate), IUDSOIA (SONIA), XUDLUSS, XUDLERS                         | Policy rate anchor, SONIA fixings, GBP/USD and GBP/EUR                                             | <a href="https://bankofengland.co.uk/boeapps/database">bankofengland.co.uk/boeapps/database</a> . Retrieved 3 Aug 2026                                                |
| Bank of England, <i>Monetary Policy Summary and minutes of the MPC meeting ending on 29 July 2026</i> , published 30 July 2026 | Vote split, member rationales, all quotations, energy price levels, £491bn gilt holdings, CPI 2.6% | <a href="https://bankofengland.co.uk/monetary-policy-summary-and-minutes/2026/july-2026">bankofengland.co.uk/monetary-policy-summary-and-minutes/2026/july-2026</a>   |
| Bank of England, MPC dates for 2026 and 2027                                                                                   | Meeting calendar used for the meeting-dated path                                                   | <a href="https://bankofengland.co.uk/monetary-policy/upcoming-mpc-dates">bankofengland.co.uk/monetary-policy/upcoming-mpc-dates</a>                                   |
| UK Debt Management Office, <i>Revision to the DMO Financing Remit 2026-27</i> , 23 April 2026                                  | NFR £251.2bn, gross sales £246.2bn, issuance split by type and maturity                            | <a href="https://dmo.gov.uk/media/ajmifgdv/pr230426_2.pdf">dmo.gov.uk/media/ajmifgdv/pr230426_2.pdf</a>                                                               |
| UK Debt Management Office, press notice, 17 July 2026                                                                          | September 2026 syndication plan (2056 gilt, "modestly-sized")                                      | <a href="https://dmo.gov.uk/media/ddejgfzz/pr170726.pdf">dmo.gov.uk/media/ddejgfzz/pr170726.pdf</a>                                                                   |

**Reproducibility.** Every figure in this report is generated by `src/build_charts.py` and written to `data/processed/key_figures.csv`. No number appears in the text that does not appear in that file. Charts regenerate from a single command against the raw Bank of England archives.

*Market Signals is published monthly. The next edition is due in the first week of September 2026, following the 17 September MPC decision. Each edition states what changed, whether the previous view was right, and what was got wrong.*

*Tanmay Gambhir — independent research. This document is for discussion and demonstration purposes and is not investment advice, an offer, or a solicitation.*